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Credit Analysis for Corporate Issuers

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SENIORITY RANKINGS, RECOVERY RATES, AND CREDIT RATINGS

Learning Outcome

- describe the seniority rankings of debt, secured versus unsecured debt and the priority of claims in bankruptcy, and their impact on credit ratings

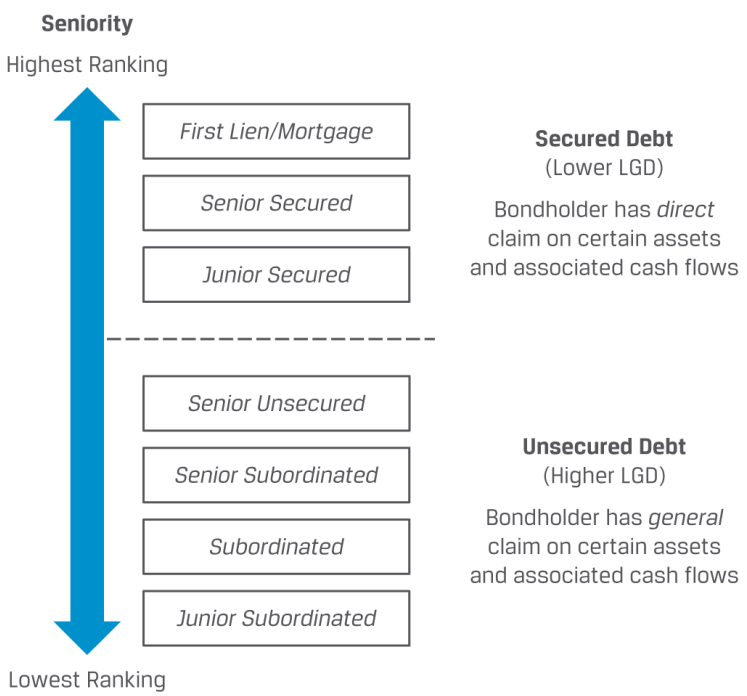
The debt obligations of a corporate borrower often have different seniority rankings. Some companies and industries have straightforward capital structures, with all the debt equally ranked and issued by one main operating entity. Other companies and industries, due to acquisitions and divestitures (e.g., media companies or conglomerates) or regulation (e.g., banks and utilities), have more complex debt structures. Firms in these industries often have many different subsidiaries, or operating companies, that have their own debt outstanding and parent holding companies that also issue debt with different seniority levels.

Seniority Rankings

A seniority ranking refers to the priority of payment, with the most senior or highest-ranking debt having the first claim on the cash flows and assets of the issuer. The level of seniority affects the value of an investor's claim in the event of default and restructuring. Secured debt involves a debtholder claim—a pledge from the issuer—to certain assets and their associated cash flows. This collateral reduces the lender's potential loss in the event of default, as the lender may take possession of and sell these assets to offset their losses. Seniority rankings involving secured and unsecured debt are shown in Exhibit 4.

Exhibit 4:

Seniority Rankings



Secured versus Unsecured Debt

that could include buildings but might also include property and equipment, licenses, patents, brands, or inventory. As the name implies, *second lien* secured debt has a secured interest in the pledged assets that ranks below first lien debt in both collateral protection and priority of payment. Most second lien loans are senior secured obligations of the borrower, which rank above junior secured obligations.

Unsecured bondholders have only a general claim on an issuer's assets and cash flows. In the event of default, unsecured debtholders' claims rank below (i.e., get paid after) those of secured creditors under what is known as the **priority of claims**.

The highest-ranked unsecured debt is **senior unsecured debt**. It is the most common type of corporate bond, ranking below senior secured debt but above subordinated debt. Other, lower-ranked debt includes **subordinated debt** and junior subordinated debt. Among the various creditor classes, these obligations have the lowest priority of claims and frequently have little or no recovery in the event of default (i.e., an LGD of 100%).

Different seniority rankings satisfy the needs and demands of both issuers and investors. Issuers seek to optimize their cost of capital—in some cases offering secured debt to meet investor requirements, as in the earlier Royal Caribbean example, and in other cases offering subordinated debt, which is less costly than equity and non-dilutive. The seniority of debt drives decisions in the case of bankruptcy or liquidation. Senior creditors with a secured claim have the right to the value of specific assets before any other claim. If the value of the pledged property is less than the amount of the claim, then the difference becomes a senior unsecured claim. Senior unsecured creditors take priority over all subordinated creditors, who in turn have the right to be paid in full before shareholders receive any compensation. Example 5 shows differences in repayment seniority.

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EXAMPLE 5

VIVU Bond

The 6.5% VIVU seven-year callable notes were introduced earlier in the curriculum.

6.5% Vivivyu Inc. (VIVU) 7-Year Callable Notes	
Issuer:	Vivivyu Incorporated
Maturity Date:	7 Years
Principal Amount:	USD400 million
Interest:	6.5% fixed coupon
Interest Payment:	Semi-annual
Seniority:	The Notes are secured and unsubordinated obligations of VIVU and rank pari passu with all other secured and unsubordinated debt.
Security:	The Notes are secured by a pledge of certain assets as identified in the Indenture.

Assume VIVU also has a 10-year subordinated bond outstanding with the following terms:

10.0% Vivivyu Inc. (VIVU) 10-Year Subordinated Notes	
Issuer:	Vivivyu Incorporated
Maturity Date:	10 years
Principal Amount:	USD300 million
Interest:	10.0% fixed coupon
Interest	Semi-annual

	preference among themselves.
Security:	None

While the 6.5% notes are senior secured debts, the 10.0% notes are unsecured subordinated debt.

In an insolvency or a restructuring event, the 6.5% notes rank highest in the payment priority as they are backed by certain specified assets as a secondary source of repayment. If the value of the collateral falls short of the total amount of pari passu secured debt, the balance will rank pari passu with senior unsecured creditors in insolvency or restructuring.

The 10.0% subordinated notes rank below senior secured and senior unsecured debt in the priority of claims, but above junior subordinated debts (if any) and shareholders. These notes have among the lowest priority of claims in an event of default and often have the lowest recovery rate.

Recovery Rates

All creditors at the same debt seniority level are treated as one class; thus, a senior unsecured bondholder whose debt is due in 30 years has the same pro rata (pari passu) claim in bankruptcy as one whose debt matures in six months. Defaulted debt often continues to trade near the expected recovery rate for bonds expected to enter bankruptcy or liquidation. Recovery rates vary by seniority ranking based upon the priority of claims.

Historical default data provide statistically meaningful recovery rates by seniority ranking. Exhibit 5 shows recovery rates by seniority ranking for North American non-financial companies. For example, as shown in Exhibit 5, investors recovered 45.9% of the value of defaulted senior secured debt in 2019 but only 31.3% of defaulted senior unsecured issues that year.

Exhibit 5:

Average Corporate Debt Recovery Rates (%)

	Emergence Year			Default Year		
Priority Position	**2020**	**2019**	**1987–2020**	**2020**	**2019**	**1987–2020**
Term Loans*	48.5	58.1	72.6	50.1	52.7	86.3
Senior Secured Bonds	34.8	45.9	61.4	34.8	44.6	61.4
Senior Unsecured Bonds	8.6	31.3	46.9	8.6	40.5	46.9
Subordinated Bonds	0.9	24.7	27.9	0.9	24.7	27.9

* Includes all types of term loans: first, second-lien, unsecured.

Notes: Emergence year is typically the year the defaulted company emerges from bankruptcy. Default year data refer to the recovery rate of debt that defaulted in that year (i.e., 2019 and 2020) or range of years (i.e., 1987–2020). Data are for North American nonfinancial companies.

Source: Moody's Investors Service, "Default Trends — Global: Annual Default Study: Following a Sharp Rise in 2020, Corporate Defaults Will Drop in 2021" (28 January 2021).

Recovery rates:

1. vary widely by industry,
2. vary depending on when they occur in the cycle, and
3. represent averages across industries and companies.

Companies entering bankruptcy in industries in secular decline usually have lower recovery rates than those merely facing cyclical economic downturn. Exhibit 6 shows the distribution of selected recovery rates between 1983 and 2020 across industries and debt seniority levels.

2020, Measured by Trading Prices before Default (%)

Industry Groups	1st Lien Bond	Senior Unsecured Bond	Subordinated Bond
Automotive	57.94	46.08	49.46
Capital Equipment	62.34	36.69	45.48
Energy: Electricity	81.48	58.24	39.45
Energy: Oil & Gas	56.55	36.33	39.10
Environmental	13.00	29.73	5.44
Finance	47.60	45.68	27.80
High-Tech Industries	53.51	33.08	23.71
Retail	57.78	36.30	21.68
Services: Business	71.14	46.83	46.22
Telecommunications	56.80	26.22	31.61
Average recovery rate*	53.04	41.80	34.69
Highest recovery rate*	96.25	92.00	63.56
Lowest recovery rate*	7.00	22.18	1.47

* Calculated for all the 33 industries identified by Moody's.

Note: Average defaulted corporate bond and loan recoveries by selected industries, 1983–2020.

Source: Moody's Investors Service, "Default Trends — Global: Annual Default Study: Following a Sharp Rise in 2020, Corporate Defaults Will Drop in 2021" (28 January 2021).

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Recovery rates also vary depending upon when they occur in the credit cycle. When the economy is strong or improving, robust markets exist for the resale of collateral and recovery rates are therefore higher. Conversely, when the economy is weak or weakening, lenders' ability to liquidate assets at or near the original value is diminished and recovery rates fall.

Importantly, these recovery rates are averages, with high variability across industries and companies within a given industry. Factors include the composition and proportion of debt across an issuer's capital structure. An abundance of secured debt will lead to smaller recovery rates on lower-ranked debt. Understanding recovery rates is important because they are a key component of credit analysis and risk, as shown in the following knowledge check.

Knowledge Check: Expected Loss

1. The one-year forward default rate for an issuer in the automotive industry is expected to be 0.8%. What is the expected percentage credit loss of the issuer's bonds under the historical recovery rate assumptions (see Exhibit 5)?

Senior secured bond	58%
Senior unsecured bond	46%
Subordinated bond	23%

Hide Solution

Solution:

Recall from an earlier lesson that:

Expected loss (EL) = POD × LGD

Senior secured bond: EL = 0.008 × (1 – 0.58) = 0.00336 = 0.336%

Senior unsecured bond: EL = 0.008 × (1 – 0.46) = 0.00432 = 0.432%

The priority of claims in bankruptcy under which the highest-ranked creditors get paid out first, followed by the next level, and so on, is a well-established legal standard. However, creditors with lower seniority and even shareholders may receive consideration without more senior creditors being satisfied in full, since bankruptcy resolution takes time. By compensating subordinated debt holders, senior debt holders can accelerate the bankruptcy process.

During bankruptcy, legal and accounting fees can be substantial, and the company value may decline as key employees and customers leave and competitors actively gain market share. Claimants therefore have an incentive to negotiate and compromise, leading to creditors with lower seniority and other claimants receiving more consideration than they are legally entitled to.

While a bias in the United States toward reorganization and recovery of companies in bankruptcy exists, elsewhere it is more common to liquidate companies in bankruptcy and maximize value to bank lenders and other senior creditors. Since bankruptcy and bankruptcy laws are very complex and can vary greatly by country, it is difficult to generalize how creditors will fare under a default scenario.

Issuer and Issue Ratings

Rating agencies typically provide both issuer and issue ratings for corporate debt. Terminology used to distinguish between issuer and issue ratings includes corporate family rating (CFR) and corporate credit rating (CCR), or issuer credit rating and individual issue credit rating. An **issuer rating** addresses an obligor's overall creditworthiness. Rating agencies typically map it to the senior-unsecured debt level for consistency across issuers. On the other hand, an individual **issue rating** refers to specific financial obligations of an issuer and takes such factors as seniority into account. While the probability of default (POD) for an issuer and its issues may be the same due to cross-default provisions, issuer ratings may differ due to loss given default (LGD) differences because of seniority, subordination, and sources of repayment. This rating adjustment methodology is known as **notching**.

EXAMPLE 6

Royal Caribbean Unsecured Debt

As the COVID-19 pandemic began to subside and Royal Caribbean (RCL) announced its resumption of cruise operations in 2021, the company once again approached the debt markets in March, this time with a $1.5 billion 7-year unsecured note issuance used primarily to repay existing debt and to raise cash for other debt maturities. At the time of issuance, RCL had a Moody's B1 corporate family rating (CFR), while the new unsecured debt issue was rated B2. The company's senior secured notes, on the other hand, were rated three notches higher, or Ba2, due to the vessels and intellectual property used as collateral, as described in Example 2.

While POD and LGD are the primary factors in assigning ratings, another factor considered by rating agencies is **structural subordination**, which can arise when a corporation with a holding company structure has debt at both its parent holding company and operating subsidiaries. Operating subsidiary debt is serviced by the cash flow and assets of the subsidiaries before funds can be passed ("upstreamed") to the holding company to service parent level debt.

Different payment priorities and possible higher (or lower) LGDs give rise to a rating agency notching process where issue credit ratings are moved up or down from the issuer rating. Generally, the higher the senior unsecured rating, the smaller the notching adjustment due to a lower perceived risk of default. That is, the need to "notch" the rating

credit riskiness. Thus, the rating agencies will typically apply larger rating adjustments.

Rating agencies differ in their approaches, as discussed in Example 7 below.

EXAMPLE 7

Different Approaches to Credit Ratings

While all the major rating agencies consider POD and EL in assigning their credit ratings, which ultimately reflect the agencies' forward-looking opinion of the relative level of credit risk, nuanced differences exist between credit rating agencies.

For example, Moody's defines credit risk as "the risk that an entity may not meet its contractual financial obligations as they come due and any estimated financial loss in the event of default or impairment." In so doing, the rating agency considers recovery as a rating factor in evaluating the creditworthiness of debt (especially for speculative-grade debt). In other words, its rating scale principally reflects EL.

On the other hand, S&P Global Ratings assigns credit ratings that primarily reflect POD. The agency issues separate recovery ratings in addition to rating specific debt issues. These recovery ratings consider the relative seniority and loss severity of particular issues in the event of default. S&P may also consider recovery ratings in making its notching adjustments.

Fitch Ratings takes a similar approach to S&P. Fitch assigns Issuer Default Ratings ("IDRs") reflecting a POD view. Notching adjustments then apply to issue ratings by considering recovery expectations for specific issues.

(*Sources:* Moody's, S&P, and Fitch.)

Question Set

1. A company with the following simplified balance sheet faces impairment on its net current assets (other than cash) of USD90. Identify the potential recovery of the company's debt according to the priority of claims in an event of default:

Assets	USD	Liabilities & Equity	USD
Cash	40	Secured bank loans (secured by cash collateral)	30
Net Current Assets (other than Cash)	100	Unsecured bonds	90
Net Fixed Assets	60	Subordinated bonds	10
		Common shares	40
		Retained earnings	30
Total Assets	**200**	Total Liabilities & Equity	**200**

A. Shareholders and subordinated debtholders receive zero recovery, while unsecured bondholders receive partial recovery.
B. Unsecured debtholders receive zero recovery as the impairment equals the amount of unsecured debt outstanding.
C. Subordinated and unsecured bondholders both face partial recovery, as the impairment is greater than the sum of these bonds outstanding.

Hide Solution

Solution:

A is correct. The seniority ranking of the capital structure is as follows:

equity value of USD70 (40 + 30 = 70).

The remaining USD20 (USD90 – USD70) impairment balance will be borne by the next junior claim, subordinated bonds. As subordinated bonds total just USD10, they have zero recovery.

The remaining USD10 impairment is allocated to the unsecured bonds. The USD10 impairment reduces the recovery to USD80 (USD90 – USD10). The USD30 bank loans secured by cash collateral are unaffected, as the cash collateral value of USD40 fully covers this loan.

2. State true/false to the following statement and explain your reasoning: Notching is the rating adjustment process whereby the credit rating of a corporate issuer can be moved up or down from the sovereign credit rating.

Hide Solution

Solution:

False. Notching is the rating adjustment process whereby the credit rating of a *bond* can be moved up or down from the *issuer* credit rating.

3. Why is the probability of default likely to be the same for all unsubordinated bonds of an issuer?

Hide Solution

Solution:

Cross-default provisions exist where an event of default on one bond triggers default on all outstanding debt, implying the same default probability for all issues. However, issue ratings may differ due to LGD differences.

4. An issuer credit rating assigned by the rating agencies reflects the:

A. recovery rate of a specific debt of the issuer.
B. expected credit loss of all the issuer's outstanding debt.
C. probability of default of the issuer's senior unsecured debt.

Hide Solution

Solution:

The correct answer is C. An issuer credit rating usually applies to the issuer's senior unsecured debt and is meant to address the issuer's overall creditworthiness in the form of probability of default (and for some rating agencies, both probability of default and expected recovery).

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